

Proposal: Transparency & Truth in Advertising in E-Commerce Industry

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Introduction

Ethics defines right and wrong actions in specific situations and is fundamental to the functioning of society. In the realm of e-commerce, ethics serves as a guidepost for protecting customer security and maintaining trust between businesses and consumers.

Cyber ethics, more specifically, refers to the best practices and ethical guidelines that govern the use of computer systems and the internet. In the context of e-commerce, cyber ethics emphasizes the importance of safe online practices, transparent communication, and responsible use of technology. By promoting fairness, honesty, and accountability, cyber ethics ensures that the digital marketplace operates in a way that benefits both businesses and consumers while minimizing harm.

Statement of Transparency and trust in advertising

In this proposal, we will examine the ethical issue of **transparency and trust in advertising** within the e-commerce industry and highlight the ethical challenges that emerge from deceptive or misleading practices. Our goal is to raise awareness of the ethical considerations that must be addressed to ensure a responsible and sustainable digital marketplace.

Misleading advertising practices, violates consumer trust and can unfairly advantage dishonest sellers while harming both ethical competitors and consumers. In this business reliability of the information that is posted online, is very important. Therefore, it is highly needed that the asked information is correct and misrepresenting facts would cause a lot of damage.

The problem of transparency and truth in advertising is widespread across the entire e-commerce industry, rather than being limited to a single company. It affects global online marketplaces such as Amazon, eBay, and Alibaba, as well as smaller e-commerce retailers that rely on online advertising and customer reviews to drive sales. The issue is particularly serious in industries with high product variety and limited physical inspection before purchase, such as fashion, electronics, cosmetics, and health products, where misleading descriptions or fake reviews can easily mislead consumers.

The boundaries of the problem include practices such as:

- **False product claims** (e.g., exaggerating quality, sustainability, or health benefits).
- **Manipulative advertising techniques** (e.g., fake scarcity messages, hidden fees).
- **Fake or paid reviews** that distort product ratings and consumer trust.
- **Lack of disclosure** when influencers or affiliates promote products for compensation.

These boundaries are clear: the problem is not about all forms of marketing but specifically about **deceptive or misleading advertising practices that reduce transparency** in online marketplaces.

This problem is worth addressing because it directly impacts consumer trust, market fairness, and long-term industry growth. Consumers who feel misled may avoid shopping online altogether, while honest businesses face unfair competition from sellers who cut ethical corners. Additionally, unchecked deceptive practices can lead to regulatory fines, reputational damage, and even legal liability for companies that fail to enforce advertising standards. Ensuring transparency and truth

in e-commerce advertising is therefore crucial for safeguarding consumers, supporting fair competition, and maintaining confidence in the digital economy.

Example: Case study

Here we use two events for case study: **Amazon battle against fake news** and **hidden fees and deceptive pricing on travel booking sites**

- **Amazon's battle against fake reviews**

One major case involves Amazon's battle against fake reviews. In 2022, Amazon filed lawsuits against administrators of more than 10,000 Facebook groups that were coordinating to post false product reviews in exchange for money or free merchandise. These reviews distorted product rankings and misled consumers, directly undermining trust in e-commerce advertising. This event has been widely covered in major news outlets like *CNN* and *The Guardian*, as well as in academic research on online consumer trust, offering a wealth of sources for deeper analysis.

- **Hidden fees and deceptive pricing on travel booking sites**

The second event is the issue of hidden fees and deceptive pricing on travel booking sites.

Several online platforms have faced regulatory action in both the United States and Europe for advertising misleading "base prices" that excluded mandatory fees. Consumers often discovered these charges only at the final checkout stage, which eroded transparency in pricing. The European Commission, for instance, has pressured companies like Expedia and Booking.com to

improve their practices. This issue has strong academic coverage in studies of consumer behavior, as well as extensive news coverage in business and policy outlets.

Policy as solution

Transparency and truth in advertising are vital for maintaining consumer trust in e-commerce. While companies can adopt voluntary guidelines, history shows that self-regulation is not enough. The continued presence of fake reviews, hidden fees, and undisclosed sponsorships demonstrates the need for stronger, enforceable **policy measures** to protect consumers and ensure fairness in the digital marketplace.

Policy is effective because it establishes **clear and enforceable standards** for advertising practices. Existing regulations, such as the Federal Trade Commission (FTC) rules in the United States and the European Union's consumer protection directives, already target misleading claims in traditional markets. Extending these policies more explicitly to e-commerce can create consistent expectations across online platforms. This might include requirements for marketplaces to monitor and remove fake reviews, disclose total costs upfront, and ensure that sponsored content is clearly labeled.

Another benefit of policy is that it promotes **fair competition**. Honest businesses are currently disadvantaged when competitors exploit deceptive practices to attract customers. By holding all sellers accountable to the same standards, policies create a level playing field while encouraging long-term trust and loyalty in the industry.

Policy can also integrate **technological accountability**. For example, regulations could require platforms

to use automated tools to detect fraudulent reviews, paired with independent audits to verify compliance. Finally, policy strengthens **consumer protection**. By outlawing deceptive practices and imposing penalties, regulations reassure consumers that their rights are safeguarded. This not only restores trust but also encourages continued growth in online shopping.

Policy remains the most reliable solution to ensure transparency, fairness, and accountability in e-commerce advertising.

Appendix

I used ChatGPT to support the development of this assignment. The following outlines how the tool was used, and how I ensured that the final work reflects my own understanding and analysis:

- I used ChatGPT to assist in drafting and refining sections of this assignment.
Specifically, I requested help in clarifying definitions of ethics and cyber ethics in the context of e-commerce.

ChatGPT provided draft text and suggestions. I reviewed, edited, and modified the outputs to ensure accuracy, alignment with course readings, and originality. All ideas and arguments presented ultimately reflect my own understanding and critical engagement with the topic.

References

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